6.11.4 Paytm

Payments Bank. In August 2015, Paytm received a license from RBI to launch a payments bank. The Paytm Payments Bank is a separate entity in which founder Vijay Shekhar Sharma will hold 51% share, One97 Communications holds 39% and 10% will be held by a subsidiary of One97 and Sharma.

6.11.5 Debit card and Credit Card



A Debit card is a card allowing the holder to transfer money electronically from their bank account when making a purchase.



A credit card is a payment card issued to users (cardholders) to enable the cardholder to pay a merchant for goods and services based on the cardholder's promise to the card issuer to pay them for the amounts so paid plus the other agreed charges. The card issuer (usually a bank) creates a revolving account and grants a line of credit to the cardholder, from which the cardholder can borrow money for payment to a merchant or as a cash advance. In other words, credit cards combine payment services with extensions of credit. Complex fee structures in the credit card industry may limit customers' ability to shopping.

6.11.6 Recent Issues

Once the borrower fails to make interest or principal payments for 90 days the loan is considered to be a non-performing asset (NPA). NPAs are problematic for financial institutions since they depend on interest payments for income. As on now the size of NPAs is estimated to be around 10 lakh crores. As a result, the banks do not have adequate capital. Hence the Government (of India) is forced to infuse capital to the banks by using poor tax – payers money. Already more than a sum of ₹ 2 lakh crores have been injected. During 2018 - 19, the GOI has infused ₹68,000 crores into the banking system. Thus the NPAs ultimately affect the common people.

6.11.7 Merger of Banks

Union Cabinet decided to merge all the remaining five associate banks of State Bank Group with State Bank of India in 2017. After the Parliament passed the merger Bill, the subsidiary banks have ceased to exist.

Five associates and the Bharatiya Mahila Bank have become the part of State Bank of India (SBI) beginning from April 1, 2017. This has placed State Bank of India among the top 50 banks in the world. The five associate banks that were merged are State Bank of Bikaner and Jaipur (SBBJ),

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